

Agenda

Slide Number	Title
3	Summary
4	Team
5	Problem & Traction SWOT Analysis
6	Market Sizing
7	Market Comparison
8	Value Chain Analysis
9	Business Model
10	Plan and Milestones
11	Financial Snapshot
12	Risk and Mitigations

Slide Number	Title
13	Valuation
14	DCF Valuation
15	VC Method Valuation
16	Valuation Based on Comparables Multiples
17	Investment Structure Options
18	Pre-Investment Cap Table
19	Post-Investment Cap Table
20	Key Clauses in Term Sheet
21	Exit Strategies and Returns
22	Final Recommendation
23 to 31	Bibliography, Appendix

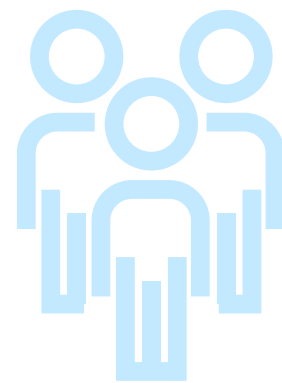
Summary

This is an investment case review for Finvise to raise £1-2 million capital from Northbridge Ventures to support product development & launch, team expansion (data science, sales support & software engineers), client acquisition & marketing .

The team comprises two founders, the CEO & CTO. Both have relevant backgrounds as former head of product at a wealthtech firm, and senior AI engineer at a digital challenger bank respectively. The CEO has experience of successfully exiting a prior fintech, which will help deliver the 5 year exit plan.

The recommendation is that Northbridge Ventures should invest in Finvise based on the strong market opportunity (TAM of £0.5B, SAM £0.2B, and SOM of £15M), expected high growth (3-year revenue CAGR of 295% from 2024 to 2027) and net profitability from 2026 onwards.

Team



Founders

Lucy Bennett (CEO)

- Former Head of Product at a wealth-tech firm specializing in micro-investing
- Previous fintech co-founder (small exit)
- Leads product vision, strategy, and fundraising
- £200k Personal capital invested

Amir Quereshi (CTO)

- Computer Science graduate (King’s College London)
- Ex-Senior AI Engineer at Digital Challenger Bank
- AI, Data Modelling and Financial Forecasting Specialist
- £100k Personal capital invested

Key Person Risk

- High dependence on both founders at the current stage
- CTO is critical to core AI intellectual property and platform development
- The CEO is central to fundraising, strategic direction, and external relationships
- Risk mitigation post-investment includes the establishment of an employee option pool and senior hires

Overall Assessment

The founding team exemplifies significant strength, with high execution capability and alignment of incentives; kep-person dependency remains the principal people-related risk.

The plan is to expand data science and software development to deliver the product to cutting-edge standards. We also aim to develop the sales team and work with marketing partners to drive client acquisition for revenue growth.

Team Assessment (VE Matrix - Team / Gompers et al., 2020)

Assessment Dimension	Evaluation Criteria	Assessment Basis	Score (1–5)
Skills & Experience	Founder capability aligned with venture needs	Alignment between founder background and AI-driven fintech execution	4
Skills & Experience	Prior startup / exit experience	Previous startup and exit experience reduces execution risk	4
Motivation & Commitment	Financial commitment by founders	Significant personal capital invested by founders	5
Motivation & Commitment	Willingness to accept opportunity cost	Acceptance of below-market salaries signals long-term commitment	5
Complementarity & Cohesion	Role clarity across team	Clear separation of executive and technical leadership roles	4
Complementarity & Cohesion	Team skill complementarity	Product-led strategy supported by in-house AI capability	5
Integrity & Trustworthiness	Alignment with investor expectations	No governance, ethical, or integrity concerns identified	4
Execution Risk (Key Person Risk)	Dependence on individual founders	Technical expertise concentrated in a small number of key individuals	3

Problem and Traction

SWOT Analysis

Problem

In the UK, 60% of small and medium-sized enterprises did not receive the financing they needed due to a lack of awareness of available financing options. A further 75% of SME's firms were not well informed about early-stage equity and alternative finance, which reduced their chances of financial growth (British Business Bank, 2023).

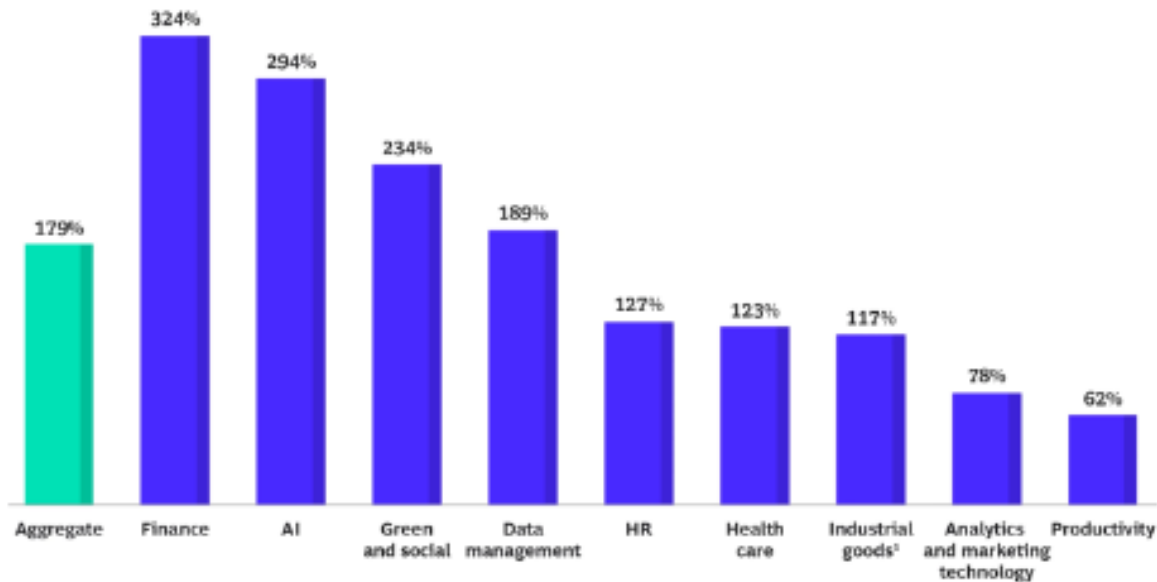
Solution

Finvise's AI-powered financial advisory software provides the ideal solution to this problem. Finvise's SaaS product provides up-to-date financial insights, visible, timely, and practical finance options, and guidance, enabling SMEs who previously lacked awareness in the UK to be well-informed and make better decisions in developing their growth.

Traction

Exhibit 1 - Most B2B SaaS Segments Are Growing Rapidly, Particularly Finance and AI

2022 SaaS annual growth rate by segment (%)



Strengths

- Strong SaaS products, closed Beta received positive feedback, leading to an early 2024 launch.
- High levels of customer engagement; user-friendly interfaces (understandable navigation).
- A level of personalisation where needs and preferences are foreseen, offering tailored recommendations and suggestions through an AI-powered software tool.
- Built in house customer support to maintain close feedback between customers and developers building trust and customer loyalty

Weaknesses

- No employee option pool has been created as of yet.
- Negative Cashflow for 3 years.
- Product- market fit and competition risks
- Key person risk: the CEO owns the majority of the shares.

Opportunities

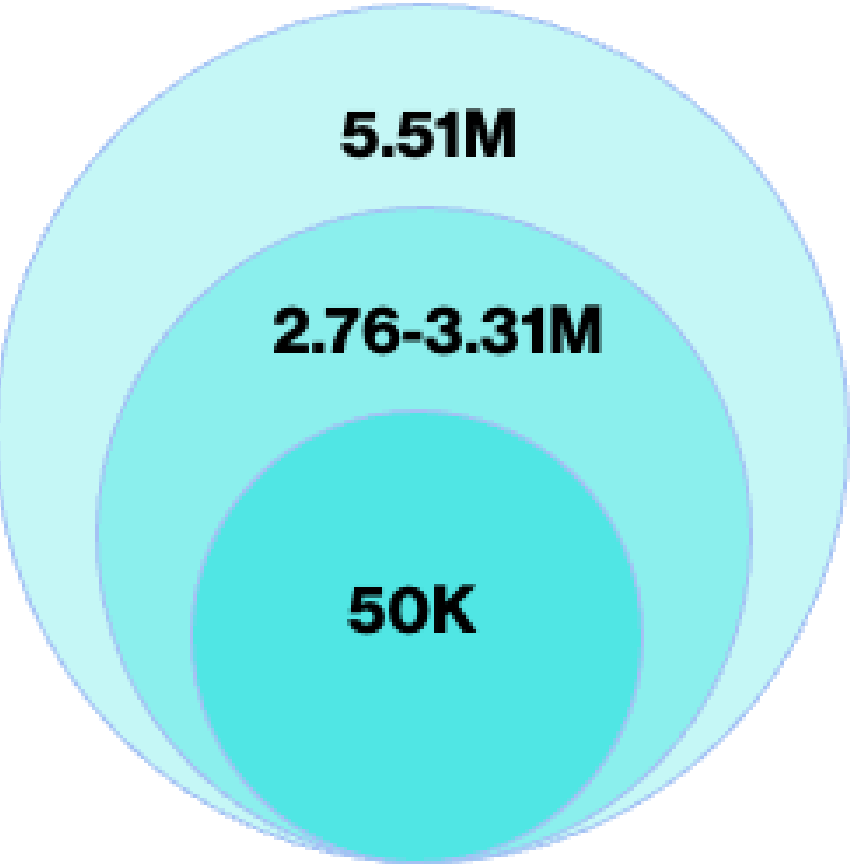
- AI-enabled products and services are expected to lead the market within the next two years, generating new revenue (EY Global, 2023).
- It also forecasted that FinTechs are redefining AI-based solutions into unique business models that will leverage economies of scale and diverse datasets (EY Global, 2023).
- The B2B SaaS market is relatively inexpensive to launch and scale, making future product launches cheaper (Meyer et al.,2023).

Threats

- Highly Competitive: Robo financial advisory services are growing rapidly in the market (Dieu, 2023)
- Generative AI and conversational AI provide financial advice that solves problems (Schmerken, 2023).
- Leading financial firms are implementing generative AI to help improve financial advisory services and compete and dominate the market (Schmerken, 2023).
- Data privacy, algorithmic biases, and system vulnerabilities.

Market Sizing

Top Down Market Sizing



- TAM** Total number of UK businesses with 0-49 employees. Assuming number of businesses in 2027 remains broadly consistent with 2023
- SAM** Fraction of TAM that would be open to adopting Finvise’s solution Assuming that 50-60% of the small business population would use an AI advisory tool by 2027
- SOM** Obtainable Target Subscribers based on Finvise’s 2027 projections For Finvise to achieve their internal revenue target it would mean capturing roughly 1.5-1.8% of the SAM, across the range

From a top-down perspective, Finvise is targeting a large and growing opportunity. With over 5.5 million small businesses in the UK and AI adoption vastly accelerating, even a modest penetatrn of 1.5-1.8% yields finvise’s projected revenue target based on a subscriber base calculated from an assumed £25 ARPU.

Bottom Up Market Sizing

Year	Active Subscribers	Blended ARPU (£ per month)	Annual Revenue
2024	2,083	10	0.25M
2025	8,333	15	1.5M
2026	18,750	20	4.5M
2027	50,000	25	15M

From a bottom-up view, Finvise’s revenue target is achievable, as growing from 2,000 to 50,000 subscribers in four years is ambitious but within the range of successful SaaS fintechs, especially as Finvise plans to use the £1.5-2M it raises to build out its marketing infrastructure

Market Comparission

Porter's Five Forces (Summary)

Force	Assessment	Commentary
Threat of new entrants	Medium	Open Banking lowers barriers
Competitive rivalry	Medium	Fragmented fintech market
Threat of substitutes	High	Accountants, spreadsheets, banks
Bargaining power of customers	Medium	Low switching costs
Bargaining power of suppliers	Low	No dominant API providers

Venture Evaluation Matrix – Market & Competition

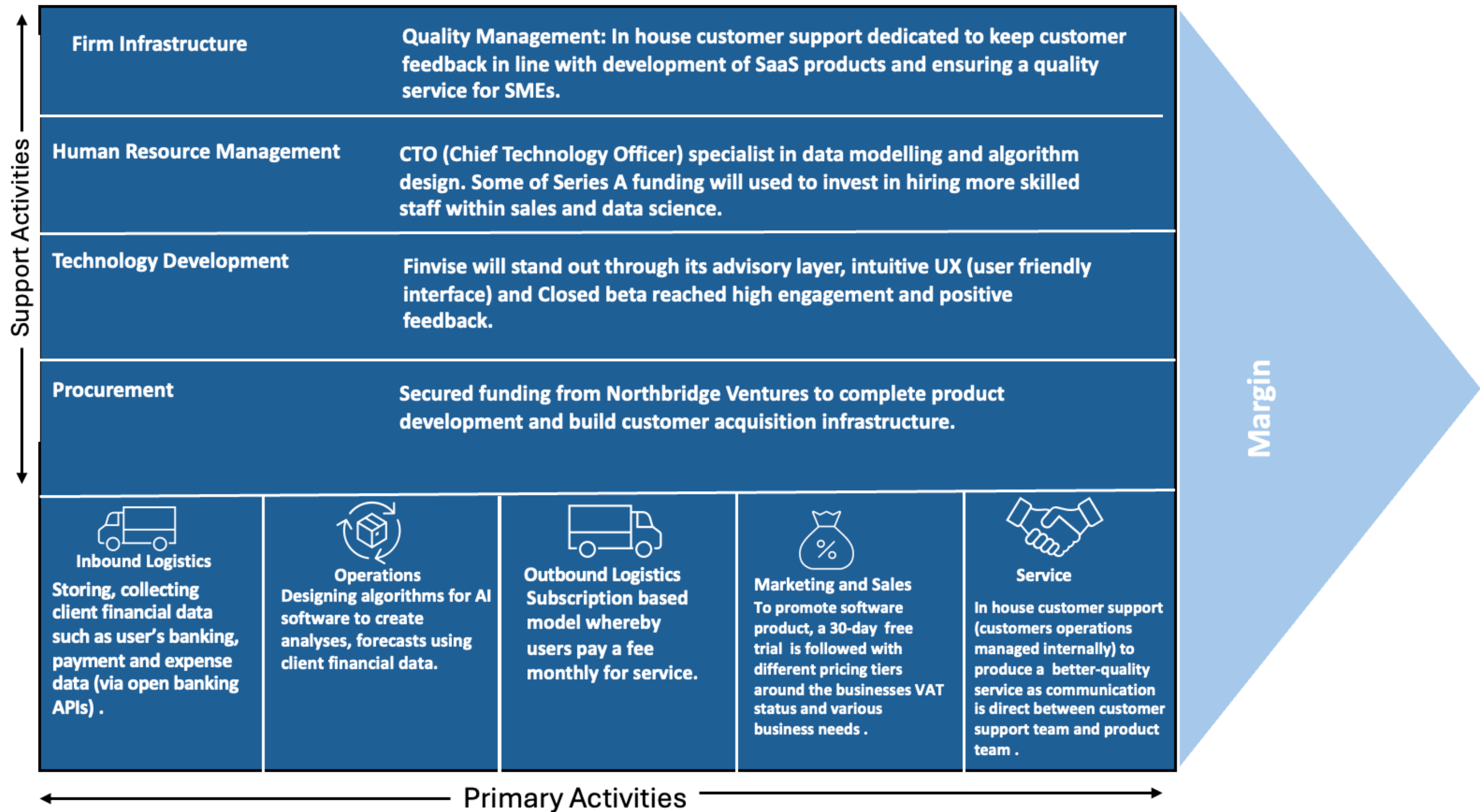
Venture Evaluation Matrix	Customer	Company	Entrepreneur	Attractiveness
Value Proposition	Clear unmet need for real-time financial decision support among freelancers and SMEs	AI-driven advisory using Open Banking data	Founders with fintech and AI experience	Value
Industry	Growing UK self-employment and micro-SME base	Competitive but expanding fintech and SaaS sector	Strong understanding of market and regulatory dynamics	Scale
Strategy	Willingness to pay for affordable, automated guidance	Scalable SaaS subscription business model	Focused niche strategy with planned European expansion	Growth
Competitive Advantage	High customer pain point and recurring engagement	Decision-first advisory differentiated from bookkeeping tools	Execution capability supported by prior startup experience	Attractive

Competitor Key Metrics

Metric	Finvise	Coconut	Soldo	SteadyPay
Stage / Founded	Pre-Series A (2022)	Series B (2016)	Series C+ (2015)	Series A (2018)
HQ / Geography	UK (EU planned)	UK	UK / Europe	UK
Core product	AI financial advisory	Freelancer banking & tax	SME spend management	Income smoothing & financial stability
Target customers	Freelancers & SMEs	Freelancers / sole traders	SMEs & mid-market	Gig workers & freelancers
Primary use case	Financial decision support	Tax, cash flow, invoicing	Spend control & visibility	Income smoothing & cash-flow stability
Pricing	£5–£30 / month	Approx. £9–£20 / month	Tiered / custom	B2B partnerships / subscription
Go-to-market	Direct-to-customer	Direct-to-customer	Sales-led B2B	B2B partnerships
Capital raised	£150k (convertible note)	£30m+	£200m+	£10m+

Value Chain Analysis

Finvise’s Value Chain Proposition



Business Model

Revenue Streams(Subscription SaaS)

Customer Segment	Monthly Price	Strategic Role
Freelancers(non-VAT)	£5	User acquisition engine
VAT-registered SMEs	£10-20	Core revenue driver
Partnerships/LTD companies	£30	High-value, low-churn users

Note: Predictable recurring revenue with high operating leverage

Cost Structure

Cost of Sales: cloud & AI infrastructure, Open Banking APIs, onboarding & support

Operating Expenses: engineering and data science, sales & marketing, admin

Differentiation

- AI advisory layer (decision-making, not reporting)
- Intuitive UX for non-financial users
- In-house support

Operating Leverage

- High fixed costs, low marginal cost per user
- Margin improvement dependent on user scale and automation

Market Positioning

- Lower prices for SME fintechs
- Strategy prioritizes early adoption and retention

Overall Insight: Finwise monetizes financial confidence rather than accounting functionality, making trust and retention critical success factors.

Plan and Milestones

On track to complete series A capital raise by Q2 to Q3 2023 to support the delivery of the company's 5 year plan

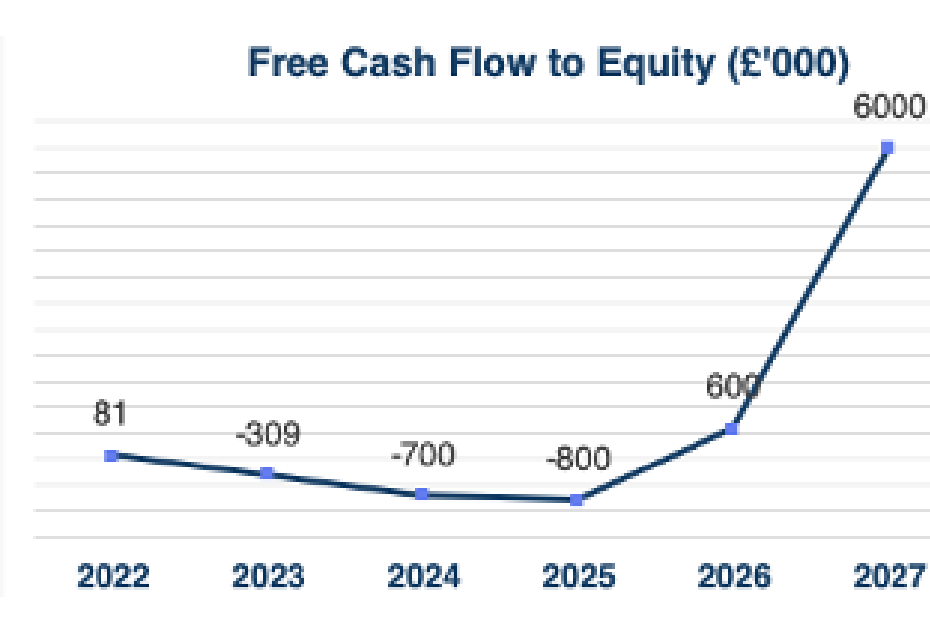
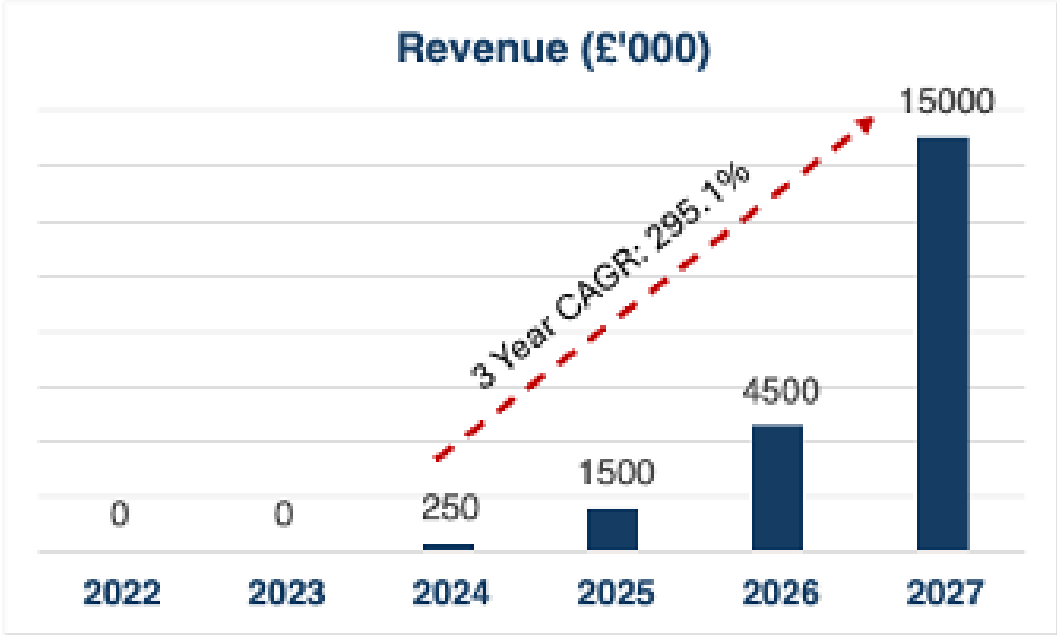
Completed
In progress
To be started

	Q2 2022	Q3 2022	Q4 2022	Q1 2023	Q2 2023	Q3 2023	Q4 2023	2024	2025	2026	2027
Convertible note issuance (£150K)	Completed issuance of convertible note				Conversion of convertible note into equity						
Series A capital raise (£1m - £2M)		Kick-off preparation for Series A capital raise and engagement with Northbridge Ventures			- Secure capital commitment from Northbridge Ventures - Finalise agreement and sign contract	Draw down committed capital					
Personnel to support product development						Onboard Data science personnel and Soft ware developers to drive product development		Rapid expansion of Data Science, Research and Software development team to drive product technology and differentiation			Normalise to industry levels
Product Development, Research & Development						Accelerate and complete product development		Complete testing and launch product	Continue to invest in product to maintain competitive edge		
Marketing campaign, customer acquisition, sales support								Soft launch of marketing campaign, customer acquisition and sales initiatives	Accelerate marketing campaign, customer acquisition and sales initiatives		Normalise to industry levels
Exit										- Identify potential acquirers - Identify investment bank to lead M&A road show	- Kick-off investor road show for exit - Exit by Q4 2027

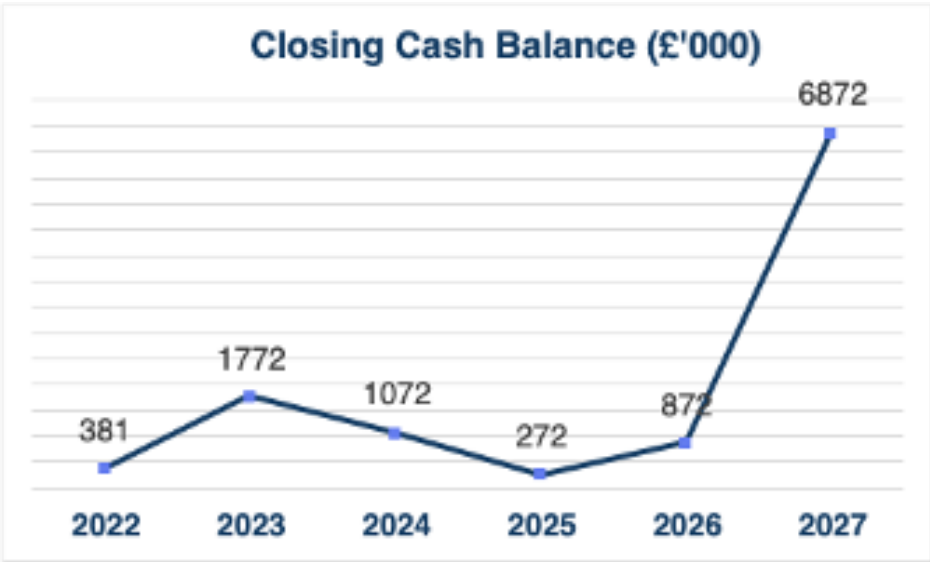
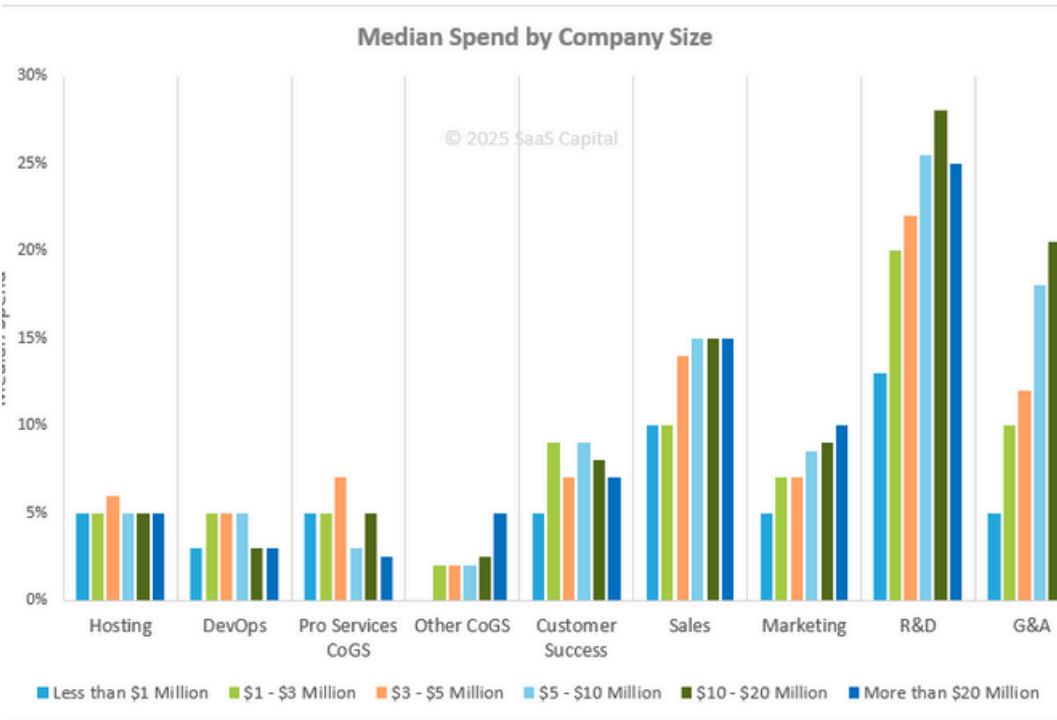
Financial Snapshot

- Revenue grows from £250K in 2024 to £15M in 2027 achieving a 3 year CAGR. The company is forecast to start generating net positive P&L from 2026
- Free Cashflow to Equity (FCFE) is forecast to turn positive at £600K in 2026 and this increases to £6M in 2027 as investments in revenue drivers reverting to industry levels
- To support liquidity the company has set a minimum allowable cash balance of £250K and this is achievable through the £1.7M capital raise and improving net profitability

Profit & Loss (£'000)	2022	2023	2024	2025	2026	2027
Revenue			250	1,500	-4,500	15,000
Cost of Sales		-150	-470	-1,250	-2,075	-4,420
Admin Expense	-60	-150	-380	-750	-1,425	-2,180
Interest Expense	-9	-9				
Tax						-2,000
Net Profit & Loss After Tax	-69	-309	-600	-500	1,000	6,400



	2024	2025	2026	2027	Median Spend by Similar Revenue Size Companies
Cost of Sales as a % of Revenue	188.0%	83.3%	46.1%	29.5%	25% - 30%
Marketing, Customer Acquisitions, Sales Support as a % of Revenue	80.0%	28.7%	22.2%	10.7%	7% - 15%
Total Cost as a % of Revenue	340.0%	133.3%	77.8%	44.0%	>70%



Risks and Mitigations

Risk	Description	Current Risk	Future Risk	Mitigation Strategy
Data Protection and Cybersecurity	Finvise processes very sensitive financial data through Open Banking API's which may lead to data breaches or misuse of personal data	Medium/High	Medium	Implement bank-grade security such as ISO 27001 and end-to-end encryption
Regulatory and Compliance	Heavily regulated fintech environment and any breach may result in fines	Medium	Medium/Low	Ongoing compliance monitoring and regulatory advisory support
Transparency with users	Users may not trust AI-generated financial advice	Medium	Low	Create user-friendly AI features with clear assumptions and logic
Product-Market fit	Although first feedback is positive, proven demand for the product is not yet proven. Freelancers or SME's may not convert after free trial ends	High	Medium	Validate willingness to pay early and keep reviewing the pricing tiers
Competition	The fintech SaaS space is already very crowded with similar AI advisory features	Medium/High	High	Focus on USP niche differentiation from competitor fintech firms such as potential partnerships
Reliance on Open Banking Infrastructure	Dependence on 3rd party API's such as banks creates operational risk if access is disrupted or terms change	Medium	Low/Medium	Develop a multi-provider API strategy and continuous contingency planning with data providers
Key Person Risk	The business is highly dependent on Lucy and Amir and if one leaves it could really harm the company	Medium	Low/Medium	Introduce employee options and retention incentives such as succession planning
Financial Forecasting	Although projections show rapid revenue growth by 2026-27, the figures calculated may be too optimistic for an early stage SaaS	Medium/High	Medium	Use conservative scenario modelling and sensitivity analysis

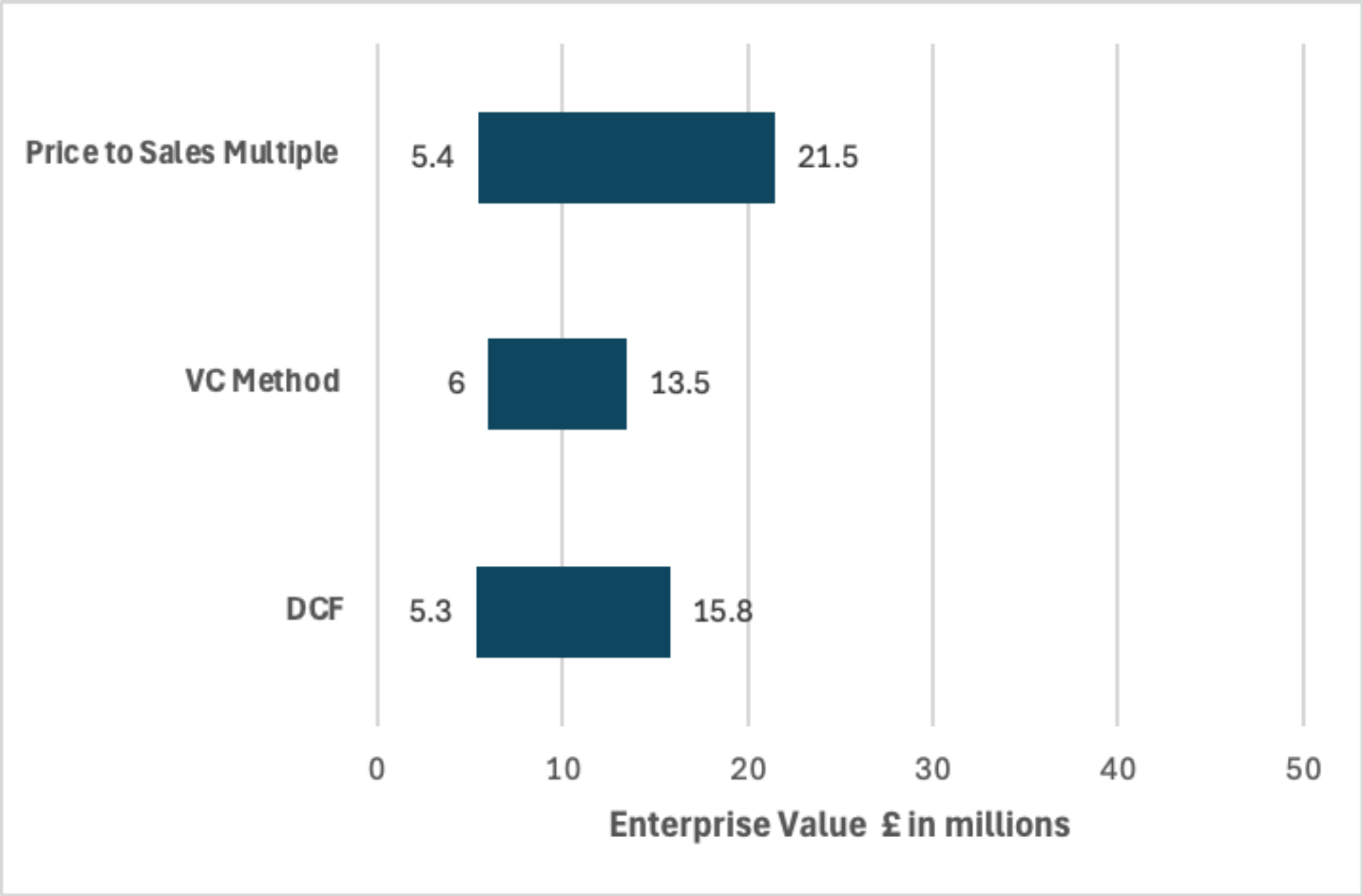
Valuation

- **Finvise is valued at a median valuation of £10.5M based on estimates from the following three valuation methods: Discounted Cash Flow (DCF), Venture Capital Method and Price-to-Sale Multiples from recent acquisition of SaaS companies (further details in the next 3 pages).**

Median Enterprise Value

£ 10.5M

Valuation Football Field



DCF Valuation

Base Case Valuation

- Assuming a 35% discount rate and 5x Multiple

Enterprise Value:

£ 5.3M - 15.8M

- Discount rates are assumed to range from 30% to 40%, consistent with premiums set for early-stage firms. (KPMG, 2021)
- Using recent market data for firms highlights fintech SaaS deals have used a 3-7x terminal value (Finro, 2025)(Pitchbook, 2025)

Sensitivity Table

Enterprise Value Sensitivity Table		Terminal Value Multiple		
	'000	3x	5x	7x
Discount Rate	30%	£ 7,364.3	£ 11,565.9	£ 15,767.4
	35%	£ 6,212.0	£ 9,824.9	£ 13,437.7
	40%	£ 5,257.9	£ 8,381.6	£ 11,505.3

Venture Capital Method Base Case

- Valuation Date: 1 April 2023
- Target Exit: End of 2027 (5-year horizon)
- Revenue at Exit: £15.0m (Management Projection)
- Investment Amount: £1.5m (Series A)
- Exit Multiple (7.0x) and Target ROI (10.0x) are based on standard Series A SaaS industry benchmarks.

VALUATION CALCULATION

1. TERMINAL VALUE (EXIT)

£15.0M × 7.0x £105.0M

↓

2. POST-MONEY VALUATION

£105.0M ÷ 10x ROI £10.5M

↓

3. PRE-MONEY VALUATION

£10.5M - £1.5M £9.0M

Implied Equity Stake: 14.3%

Pre Money Valuation (in £M)		Exit Multiple		
		6x	7x	8x
Target ROI	8x	£9.75	£11.63	£13.5
	10x	£7.5	£9	£10.5
	12x	£6	£7.25	£8.5

Pre-Money Valuation

£9.0m

Valuation Based on Comparables Multiples

- Based on Price-to-Sales multiples from recent acquisition of SaaS companies, Finvise is valued at £5.4M to £21.5M.
- There were six recent acquisitions of non public SaaS companies and the list was narrowed to three companies (Wiz, Moveworks and Sana) as these are at the revenue generation and non profitable stage similar to Finvise projection for FY 2024 (the following year’s revenue from 2023).

Finvise			
Founding Year	2022		
FY 2024 Forecast Revenue	£250K		
Stage	Forecast to generate revenue, in 2024, but will not yet be profitable		
Comparables for Valuation	Wiz	Moveworks	Sana
Price to Sale (P/S) Multiple from Acquisition of Comparables	64.1	28.9	114.2
Forward looking valuation (P/s x FY 2024 Forecast Revenue)	£16.0M	£7.2M	£28.6M
Discount forward looking valuation to today based on 30% to 35% discount rate (cost of equity)	£12.1M	£5.4M	£21.5M
Comparables for Valuation	Wiz	Moveworks	Sana
Founding Year	2020	2016	2016
Domicile Country	United States	United States of America	Sweden
Acquisition date	Feb 2025	Mar 2025	Nov 2025
Acquirer	Google	ServiceNow	Workday
Acquisition Price	£25.1B	£2.3B	£825.5M
Revenue	£391.3M	£78.3M	£7.2M
Price to Sale (P/S) Multiple	64.1	28.9	114.2
Revenue period	FY 2024	FY 2024	FY 2024
Stage	Generating Revenue	Generating Revenue	Generating Revenue

£ 5.4M to £21.5M valuation based on P/S from comparables

Investment Structure Options

- Single tranche capital raise approach is preferred due to the short-term horizon of a timed exit in **5 years**.
- Investment structure options are assessed below.

Funding Context	Description
Capital Sought	£1–2m Series A equity; Target minimum £1.7m to ensure sufficient liquidity over the next 5 years
Use of Funds	Product development & completion, go-to-market, Customer acquisition, Data Science personal, & Sales Support
Existing Instrument	£150k convertible note (£6m valuation cap)

Investment Type	Description	Pros	Cons
Straight Equity	Full equity investment, Valuation as a range, & Clean ownership and governance structure	Simple, founder aligned	Higher upfront valuation risk
Tranched Equity	Capital deployed in stages & Tranches linked to specific milestones	Downside protection, discipline in execution	Added complexity, founder pressure
Hybrid	Equity combined with structured instruments & Aligns with existing convertible note logic	Valuation felxibility	Complexity at early stage

Pre-Investment Cap Table

- **Excludes outstanding convertible debt:** Current figures do not reflect the £150k convertible note (plus accrued interest), which converts at a £6m valuation cap in the next round.
- **Pending Option Pool:** Founders have committed to establishing an employee option pool as part of the Series A financing, which will further dilute current ownership.

Shareholder	Role	Shares (Assumed)	Ownership	Investment Amount
Lucy Bennett	Co-Founder & CEO	666,667	66.67%	£200,000
Amir Qureshi	Co-Founder & CTO	333,333	33.33%	£100,000
Total Issued Equity		1,000,000	100.00%	£300,000

Post-Investment Cap Table

- Post capital raise of **£1.7M** and conversion of note of **£150K** to equity, total shares outstanding increase from **1,000,000** to **1,341,889**

ASSUMPTIONS	
Pre-Money Valuation	£ 9,000,000.00
Investment Amount	£ 1,700,000.00
Convertible Note Principal	£ 150,000.00
Note Interest Rate (Monthly)	1.00%
Months of Interest	12*
Total Note Debt	£ 168,000.00
Valuation Cap	£ 6,000,000.00
Effective Share Price	£ 9.00
Note Conversion Price	£ 6.00

CAP TABLE	Shares
Founders (Total)	1,000,000
Lucy Bennett (2/3)	666,667
Amir Qureshi (1/3)	333,333
Option Pool (ESOP)	125,000
Convertible Noteholders	28,000
Northbridge Ventures	188,889
TOTAL SHARES	1,341,889

POST-MONEY OWNERSHIP	%
Lucy Bennett	49.68%
Amir Qureshi	24.84%
Option Pool	9.32%
Noteholders	2.09%
Northbridge Ventures	14.08%
Total	100%

***Months of interest from Jul 2022 (assuming convertible note was issued in ending of Jun 2022) to Jun 2023 when equity capital raise is completed and the existing note converts into equity**

Key Clauses in Term Sheet and Rationale

Key Clauses	Term sheet requirements	Rationale
Valuation Cap	For cases whereby a valuation cap is agreed with the convertible note holder, the outstanding balance of the notes will be converted into equity at the next specified financing round at the lower of: (1) valuation cap agreed in the contract or (2) valuation of the common stock in the financing round (excluding a down round)	Incentivizes investors to invest by guaranteeing shares allocation
Liquidation preference	- Debt outstanding and interest accrued will be settled first in a liquidity event, and then Preferred stockholders will be prioritized before common stockholders for distribution of capital invested (preferred and portion of preferred note that has converted into common equity) at 1 x notional amount invested before common stockholder receive their invested capital. - Once capital invested has been distributed to preferred and common stockholders, any remainder profits in the following order of priority: - Preferred stockholders will receive their share of profits in the form of: (1) Interest/coupon accrued on preferred notes outstanding, (2) Portion of preferred note that has been converted into equity will receive the reminder share of profits on a pro-rata basis (based on % ownership of common stock) - Common stockholders will receive the remainder share of profits after preferred stockholders	Protects investors in order of seniority in a liquidity event: debt holders, convertible note holders/preferred stockholders and then common stockholders
Anti dilution	- In a down round event, convertible notes and preferred stock will be converted based on a new weighted average price calculated as: - New conversion price = Original conversion price x ((Original shares + New shares) / (Original shares + New shares at New price)) - New Shares at New Price is the number of shares that would have been issued if the new price was applied to the original investment.	- Protects common stockholders from dilution in a down round. The term sheet requirements drafted are broad-based weighted average which is most common and equitable. Other anti-dilution requirements include: - Full Ratchet anti-dilution - preferred notes will convert at the full price of the down round - Narrow-based anti-dilution - considers shares sold in down round and not all outstanding shares
Board composition	- There will be 6 Board seats with equal allocated to founder (2 seats), investors (2 seats) and independent directors (2 seats). - Board observers can attend Board meetings without a voting right. - Critical decisions specified including issue of new shares, approving budgets, new market/geography entry, exit of the company (sale or IPO) will require unanimous or majority approval from the Board. - The founder(s) will have veto rights over product launches, product expansion, adoption of new technology etc	Protects founders and investors as both parties have equal Board representation and voting rights on key decisions, whilst the founder has veto right on product decisions so that the company continues to provide products and services based on the founder(s) vision
Option pool	10% to 15% of outstanding common shares are allocated for employee option pool and proportion of employee option pool shares will be adjusted after accounting for new investors' shares following a funding round	Incentivizes employees and protects founders and from double dilution from option pool and new investors (Appendix includes industry trend)

Exit Strategies and Returns

Exit Returns

Metric	Outcome
Initial Investment	£300K from Founders and £150K convertible note which wiull convert into equity at the funding round
Capital Raise	Series A £1-2m; target £1.7m minimum capital raise
Exit Year	2027
Exit Basis	Median Valuation of £10.5M derived from DCF, VC Method & Multiples
Target MOIC	4.9x (based on exit in year 5)
Target IRR	37.4% (based on exit in year 5)

- Total invested capital into the company is £2.15M (£300K from Founders, £150K note conversion to equity and £1.7M capital raise)
- In 5 years the business is estimated to have a value of £10.5M representing MOIC of 4.9X (on total invested capital of £2.15M) and IRR of 37.4%

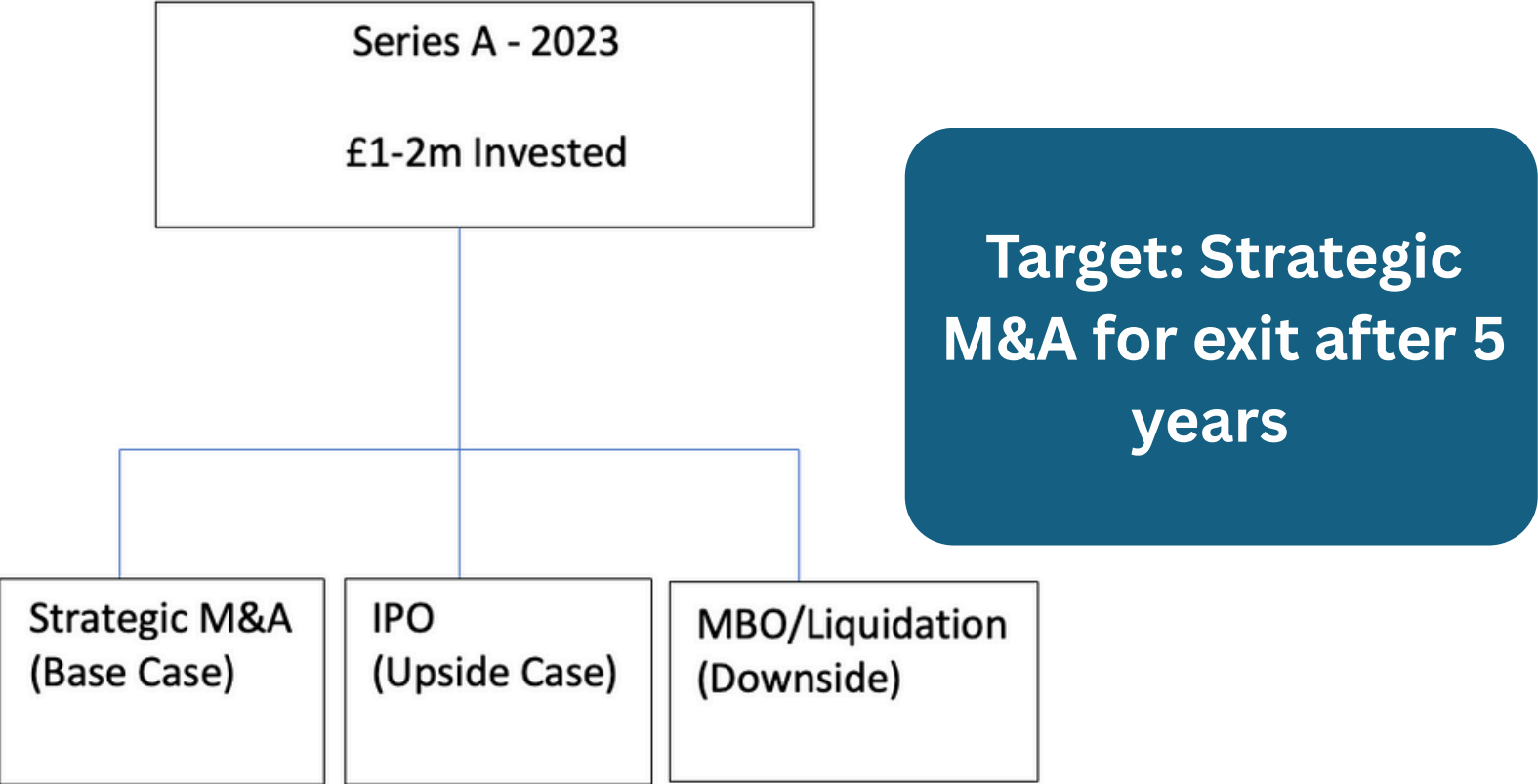
Exit Timeline



Strategic Acquirers

<i>Accounting & SME SaaS Acquirers</i>  	<i>Fintech & Neobanks</i>   
<i>Payments & Financial Infrastructure</i>  	<i>SaaS Enterprises</i>   

Exit Routes Reviewed



Final Recommendation

Recommendation: Northbridge Ventures to Invest in Finvise at £10.5M valuation

Team: The company founders have credible industry experience and the CEO/Co-founder successfully exited a prior fintech startup

Business Model & Financials: Strong product differentiation with competitive pricing and a large market opportunity. Net profitability is forecast to be achieved from year 4 onwards

Bibliography

1. Ashfords (2025) The Board: Structuring, Control and Decision-Making. Available at: <https://www.ashfords.co.uk/insights/blog/the-board-structuring-control-and-decision-making> (Accessed: 17 December 2025).
2. British Business Bank (2023) SME Intermediary Research: UK Findings. Available at: <https://www.british-business-bank.co.uk/about/research-and-publications/small-business-finance-markets-report-2024/sme-intermediary-research-uk-findings#summary-of-key-findings-across-the-uk> (Accessed: 17 December 2025).
3. Davis Wright Tremaine (2020) What Is a Valuation Cap?. Available at: <https://www.dwt.com/blogs/startup-law-blog/2020/07/what-is-a-valuation-cap> (Accessed: 17 December 2025).
4. EY Global (2024) Why AI Will Redefine the Financial Services Industry in Two Years. Available at: https://www.ey.com/en_pt/insights/innovation/why-ai-will-redefine-the-financial-services-industry-in-two-years (Accessed: 18 December 2025).
5. Finro Financial Consulting (2025) Fintech Valuation Multiples: 2025 Insights & Trends. Available at: <https://www.finrofca.com/news/fintech-revenue-multiples-2025> (Accessed: 17 December 2025).
6. Financial IT (2023) Starling Bank Starts 2023 with Hat Trick of Achievements. Available at: <https://financialit.net/news/digital-banking/starling-bank-starts-2023-hat-trick-achievements>(Accessed: 12 December 2025).
7. Financial IT (2025) Major Updates to Stripe’s Payments Platform Increase Revenue and Reliability for Businesses. Available at: <https://financialit.net/news/payments/major-updates-stripes-payments-platform-increase-revenue-and-reliability-businesses> (Accessed: 12 December 2025).
8. Financial IT (2025) Sage Launches Sage 50c Software for Small & Medium Businesses. Available at: <https://financialit.net/news/cloud/sage-launches-sage-50c-software-small-medium-businesses> (Accessed: 12 December 2025).
9. Financial IT (2025) Tide Empowers Small Businesses to Tackle Late Payments with Invoice Assistant. Available at: <https://financialit.net/news/platform-technology/tide-empowers-small-businesses-tackle-late-payments-invoice-assistant> (Accessed: 12 December 2025).
10. FinTech Futures (2018) Payments Pleasure as Adyen IPO Hits €13bn. Available at: <https://www.fintechfutures.com/paytech/payments-pleasure-as-adyen-ipo-hits-13bn>(Accessed: 12 December 2025).
11. FinTech Futures (2025) Xero to Acquire B2B Payments Platform Melio for \$2.5bn. Available at: <https://www.fintechfutures.com/m-a/xero-to-acquire-b2b-payments-platform-melio-for-2-5bn>(Accessed: 12 December 2025).
12. HSBC Innovation Banking (no date) Understanding Employee Option Pools. Available at: <https://www.hsbcinnovationbanking.com/hk/en/resources/understanding-employee-option-pools> (Accessed: 17 December 2025).
13. Investopedia (2025) Liquidation Preference. Available at: <https://www.investopedia.com/terms/l/liquidation-preference.asp> (Accessed: 17 December 2025).
14. Kortus, T. and Smith, T. (2024) Fintech’s Frontier: Shifting Economic Tides Renew Interest in Key Segments. Available at: <https://www.mossadams.com/articles/2024/06/fintech-trends-renew-interest-in-key-segments> (Accessed: 12 December 2025).
15. KPMG (2021) Startups and Early Stage Companies. Kuwait: KPMG. Available at: <https://assets.kpmg.com/content/dam/kpmg/kw/pdf/insights/2021/05/valuation-startup-web.pdf> (Accessed: 18 December 2025).
16. Linh Chu Dieu (2023) The Impact of Robo-Advisors on Investment Management in 2023. SmartDev. Available at: <https://smartdev.com/the-impact-of-robo-advisors-on-investment-management-in-2023/> (Accessed: 18 December 2025).
17. Meyer et al. (2023) Tech Is Cooling Off. B2B SaaS Is Not. BCG Global. Available at: <https://www.bcg.com/publications/2023/winning-strategies-of-hypergrowth-saas-champions>(Accessed: 19 December 2025).
18. Nelson Advisors (2025) Understanding Anti-Dilution Protection Clauses for Venture Capitalists – A Cheat Sheet for Healthtech Founders. Available at: <https://nelsonadvisors.co.uk/blog/understanding-anti-dilution-protection-clauses-for-venture-capitalists-a-cheat-sheet-for-healthtech-founders> (Accessed: 17 December 2025).
19. PitchBook (2025) Company Profile 232456-24. Available at: <https://my.pitchbook.com/profile/232456-24/company/profile> (Accessed: 17 December 2025).
20. PitchBook (2025) Company Profile 232501-78. Available at: <https://my.pitchbook.com/profile/232501-78/company/profile> (Accessed: 17 December 2025).
21. PitchBook (2025) Company Profile 431717-23. Available at: <https://my.pitchbook.com/profile/431717-23/company/profile#ai-summary> (Accessed: 17 December 2025).
22. RFI Global (2025) Fintechs Gain Ground as UK SMEs Rethink Banking Relationships. Available at: <https://rfi.global/press-release-fintechs-gain-ground-as-uk-smes-rethink-banking-relationships> (Accessed: 17 December 2025).
23. Retail Gazette Awards (2022) Oracle NetSuite – Retail Gazette Awards. Available at: <https://awards.retailgazette.co.uk/oracle-netsuite/> (Accessed: 12 December 2025).
24. Rubberdesk (2025) Central London Office Space Price Guide. Available at: <https://rubberdesk.co.uk/research/central-london-office-space-price-guide> (Accessed: 17 December 2025).
25. SaaS Capital (2025) Spending Benchmarks for Private B2B SaaS Companies. Available at: <https://www.saas-capital.com/blog-posts/spending-benchmarks-for-private-b2b-saas-companies/> (Accessed: 17 December 2025).
26. Schmerken, I. (2023) Financial Firms Explore ChatGPT and Generative AI. FlexTrade. Available at: <https://flextrade.com/resources/financial-firms-explore-chatgpt-and-generative-ai/>(Accessed: 20 December 2025).
27. The Banks (2018) Revolut Bank UAB. Available at: <https://thebanks.eu/banks/18978> (Accessed: 12 December 2025).
28. Thompsett, L. (2025) EY Unveils Finance Service Built on SAP Cloud Technology. FinTech Magazine. Available at: <https://fintechmagazine.com/articles/ey-unveils-finance-service-built-on-sap-cloud-technology> (Accessed: 12 December 2025).
29. UK Government (2025) Business Population Estimates for the UK and Regions 2025: Statistical Release. Available at: <https://www.gov.uk/government/statistics/business-population-estimates-2025/business-population-estimates-for-the-uk-and-regions-2025-statistical-release> (Accessed: 17 December 2025).
30. Vendr (2025) CapEx vs OpEx. Available at: <https://www.vendr.com/blog/capex-vs-opex>(Accessed: 17 December 2025).
31. Wall Street Prep (2025) Liquidation Preference: How It Works and How It Is Used in the VC Term Sheet. Available at: <https://www.wallstreetprep.com/knowledge/liquidation-preference-how-it-works-and-how-it-is-used-in-the-vc-term-sheet/> (Accessed: 17 December 2025).

Appendix: Financials

Profit & Loss (£'000)	2022	2023	2024	2025	2026	2027
Revenue (£'000)	0	0	250	1500	4500	15000
Product development & R&D		-60	-200	-750	-1125	-2950
Data Science Personnel		-90	-270	-500	-950	-1470
Cost of Sales		-150	-470	-1250	-2075	-4420
Marketing campaigns		0	-80	-170	-380	-750
Customer acquisition infrastructure		0	-70	-150	-350	-500
Sales Support		0	-50	-110	-270	-350
Other Staff				-50	-75	-80
Founders salary	-60	-120	-120	-200	-250	-350
Legal & Accounting		-22	-50	-50	-70	-80
Rent		-8	-10	-20	-30	-70
Admin Expense	-60	-150	-380	-750	-1425	-2180
Total Costs Before Interest & Taxes	-60	-300	-850	-2000	-3500	-6600
Interest Expense on Convertible Note	-9	-9				
Net profit (Loss) Before Tax	-69	-309	-600	-500	1000	8400
Tax						-2000
Net profit (Loss) After Tax	-69	-309	-600	-500	1000	6400

Cost as a % of Revenue	2024	2025	2026	2027
Product development & R&D	80.0%	50.0%	25.0%	19.7%
Data Science Personnel	108.0%	33.3%	21.1%	9.8%
Cost of Sales as a % of Revenue	188.0%	83.3%	46.1%	29.5%
Marketing campaigns	32.0%	11.3%	8.4%	5.0%
Customer acquisition infrastructure	28.0%	10.0%	7.8%	3.3%
Sales Support	20.0%	7.3%	6.0%	2.3%
Marketing, Customer Acquisitions, Sales Support as a % of Revenue	80.0%	28.7%	22.2%	10.7%
Other Staff	0.0%	3.3%	1.7%	0.5%
Founders salary	48.0%	13.3%	5.6%	2.3%
Other Salary as a % of Revenue	48.0%	16.7%	7.2%	2.9%
Legal & Accounting	20.0%	3.3%	1.6%	0.5%
Rent	4.0%	1.3%	0.7%	0.5%
Total Admin Expense as a % of Revenue	152.0%	50.0%	31.7%	14.5%
Total Cost as a % of Revenue	340.0%	133.3%	77.8%	44.0%

Free Cash Flow to Equity (£'000)	2022	2023	2024	2025	2026	2027
Net Income	-69	-309	-600	-500	1000	6400
Change in Working Capital	0	0	-100	-300	-400	-400
Net Borrowing	150					
Free Cash Flow to Equity (£'000)	81	-309	-700	-800	600	6000
Cash Balance (£'000)	2022	2023	2024	2025	2026	2027
Opening Cash Balance		381	1772	1072	272	872
Cashflow						
CEO Investment Capital	200					
CTO Investment Capital	100					
Convertible Note	150					
Capital Raise		1700				
Interest (from Jul 2022 to Jun 2023)						
Net P&L	-69	-309	-600	-500	1000	6400
Change in NWC		0	-100	-300	-400	-400
Closing Cash Balance (£'000)	381	1772	1072	272	872	6872

- **Total revenue and total P&L have been maintained per the financials provided in the assignment, however the split between cost of sales items and administrative expenses was updated to a high growth strategy driven by investment in cost of sales to support the high revenue growth numbers, and investment in key adminisitrative expenses, of which these revert to industry levels¹ by 2027 (as dsicussed) in financials snapshot slide.**
- **Monthly interest of 1% per month is incurred on the £150K Convertible Note from July 2022 to June 2023 when the capital raise of £1.7M is completed and the Convertible Note converts into equity.**
- **Following the capital raise of £1.7M and conversion of the existing convertible note into equity, the assumption is that the company does not incur any further debt in its capital structure.**
- **It is assumed the founders are each paid £30K each from Jul 2022 to Dec 2022 , and £60K each in 2023 and 2024. However by 2027 their salaries increase to £175K each.**
- **Rent initially starts low at ~£630K to £650K per desk for headcount of 1 to 4 personnel per average price² in London**
- **For simplicity, it is asumed that all expenses in in product development, software build etc are expensed through P&L instead of capitalizing these on the balanxce sheet to gradually amortize through P&L**
 - ¹<https://www.saas-capital.com/blog-posts/spending-benchmarks-for-private-b2b-saas-companies/>
 - ²<https://rubberdesk.co.uk/research/central-london-office-space-price-guide#:~:text=Rubberdesk%20is%20your%20one%2Dstop,private%2050+%20desk%20enterprise%20office.>

Appendix: DCF Calculations

FCF Calculation

000	2023	2024	2025	2026	2027
Net profit (Loss) After Tax	-£ 300.00	-£ 600.00	-£ 500.00	£ 1,000.00	£ 6,400.00
Memo: Change in NWC	£ -	£ 100.00	£ 300.00	£ 400.00	£ 400.00
FCF	-£ 300.00	-£ 700.00	-£ 800.00	£ 600.00	£ 6,000.00
Terminal value					£ 48,000.00
Total FCF	-£ 300.00	-£ 700.00	-£ 800.00	£ 600.00	£ 54,000.00

Terminal Value Calculation

	4x	6x	8x
Terminal Value	£ 24,000.00	£ 36,000.00	£ 48,000.00
Present Value (30%)	£ 8,403.07	£ 12,604.60	£ 16,806.13
Present Value (35%)	£ 7,225.64	£ 10,838.46	£ 14,451.27
Present Value (40%)	£ 6,247.40	£ 9,371.10	£ 12,494.79

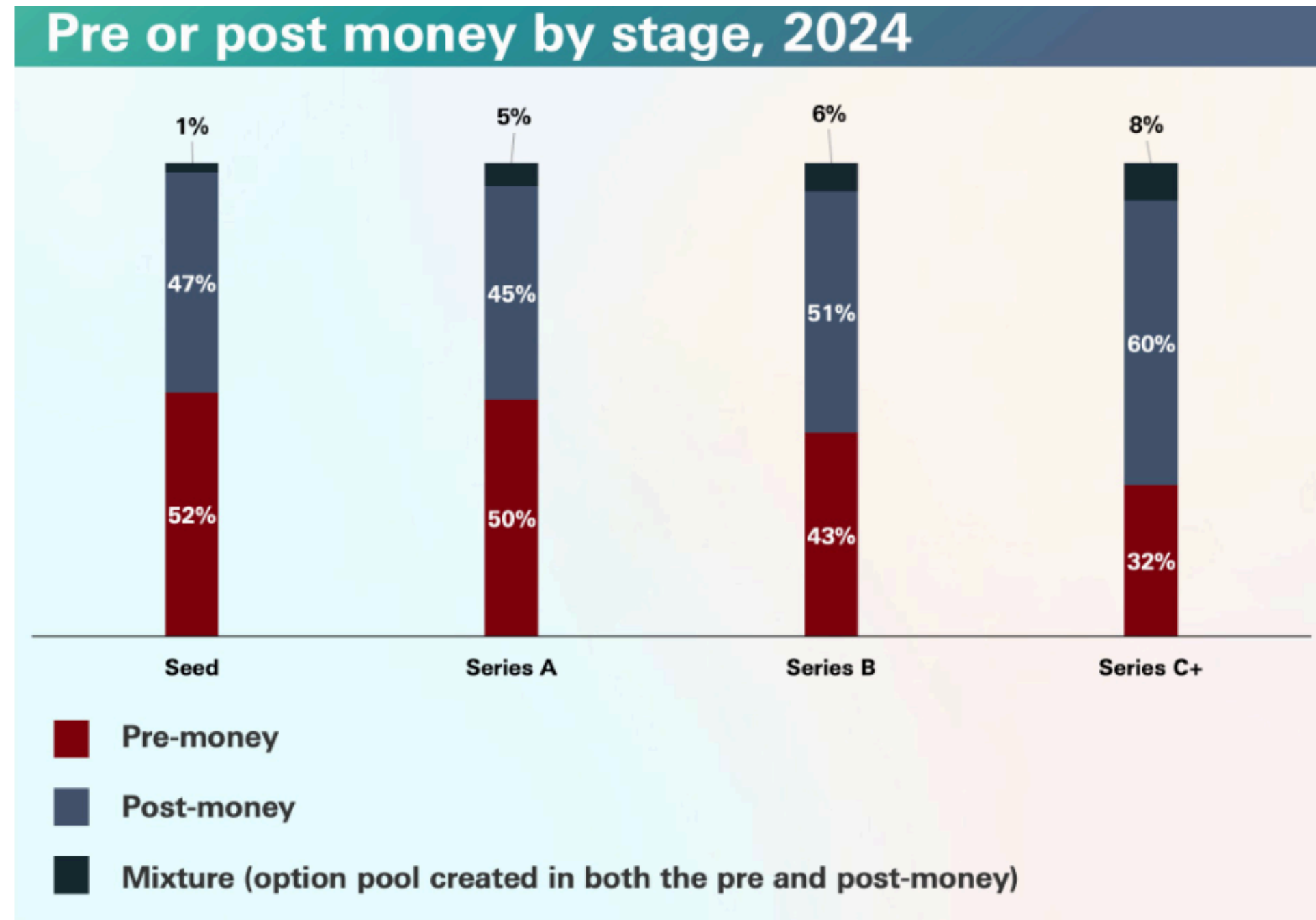
Present Value of FCF Calculation

	Discount Rate	2023	2024	2025	2026	2027
Present Value of FCF	30%	-£ 300.00	-£ 538.46	-£ 473.37	£ 273.10	£ 2,100.77
Present Value of FCF	35%	-£ 300.00	-£ 518.52	-£ 438.96	£ 243.87	£ 1,806.41
Present Value of FCF	40%	-£ 300.00	-£ 500.00	-£ 408.16	£ 218.66	£ 1,561.85

Appendix: Detailed Exit Routes Plan

Exit Route	Likelihood	Rationale
Strategic M&A (Base Case)	High	Most realistic and fits Finvise’s AI and SaaS and Open banking framework. Overall, it is a dominant exit route in fintech form 2023 onwards.
IPO (Upside Case)	Low/Medium	Requires expansion throughout Europe with very strong public SaaS multiples and favourable market conditions.
Management Buy-out	Low	Not feasible
Liquidation	Low	Downside scenario if competition risks intensify.

Appendix: Pre vs. Post Money Option Pool Calculation



Appendix: Market Sizing Assumptions

Top Down

Total Addressable Market (based on 2023 UK gov market data)

Segment (employees)	Businesses ('000)
Freelancers (0)	4,110
Micro (1-9)	1,177
Small (10-49)	223
Total (0-49)	5,510

Projected business counts remain consistent through 2027, a trend supported by the minimal year-over-year fluctuations in the small business population since 2020

Service Addressable Market

Assumption made based on figures that 50% of UK SMEs now use fintech solutions for banking, and 53% of merchants view AI as beneficial, which further indicated strong tech receptivity. As a result we conservatively assume that 50-60% of the small business population would use an AI advisory tool by 2027.

Service Obtainable Market

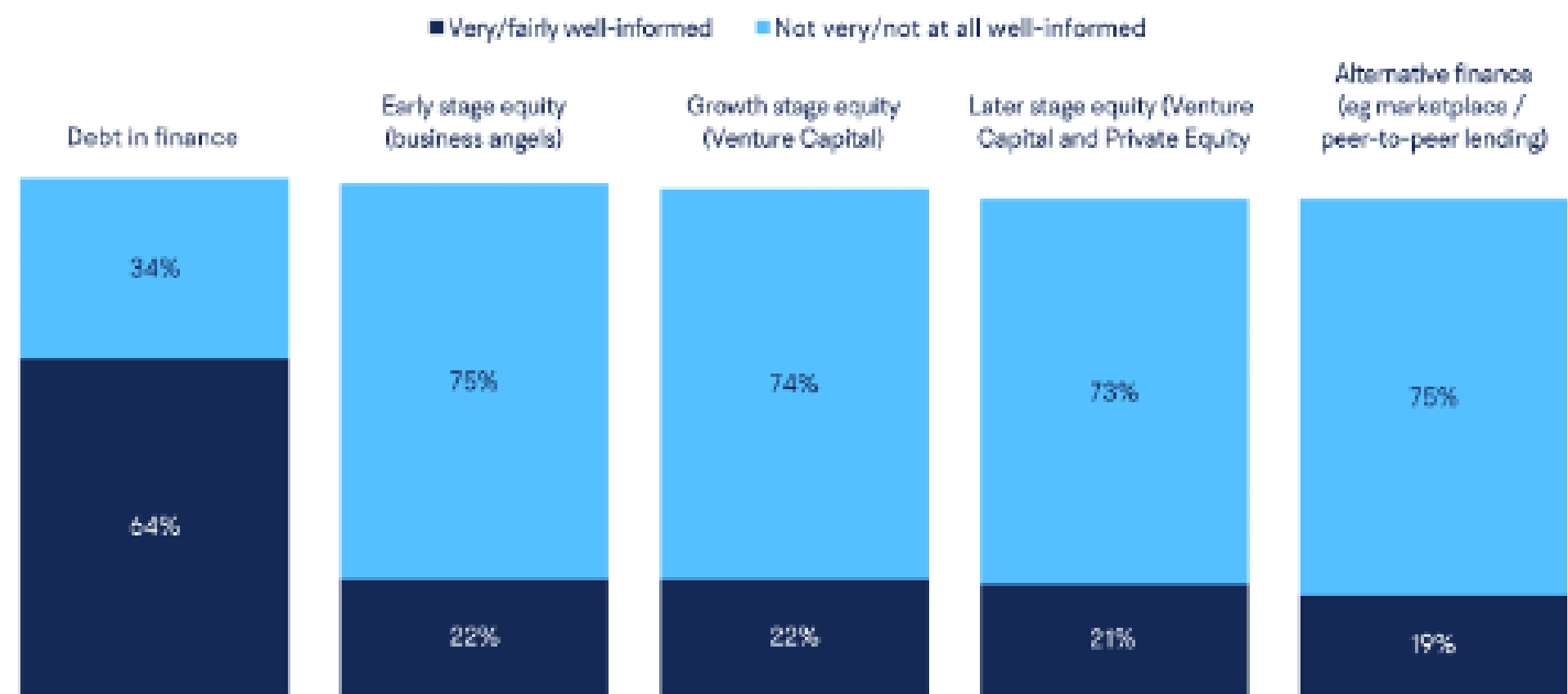
Target Subscriber Count taken directly from Finvise’s internal revenue target and assuming a blended ARPU of £300 (£25 per month), assuming the subscriber mix sways heavily toward more established SMEs in 2027, as Finvise continues to scale.

Bottom Up

- An Ascending yearly ARPU is assumed from £10 to £25 pounds by 2027, assuming customers shift from lower-paying tiers (freelancers) to higher paying tiers (SMEs and micro businesses) over time, due to more consistent use acquisition, stronger retention and stronger product market fit brought with increasing scale.
- Subscriber figures in charts are net of churn, assuming a 30% annual churn that reduces yearly, as product market fit and credibility improves, falling to 20% churn in 2027. We believe that 20-30% annual churn is a defensible assumption for a new fintech SMB tool, with an AI solution with proven appetite in the market.
- We assume that Finvise does indeed end up using the £1.5-2M it plans to raise in Series A to expand its marketing funnel, we assume that customer acquisition costs are higher but declines with increasing scale. This is highly sustainable through the model as in 2027, assuming the £25/month ARPU and a churn of 20%, would mean a LTV of £1.500, meaning Finvise can still spend up to £500 per subscriber in CAC costs (using the LTV>3X CAC SaaS industry benchmark metric).
- We assume a linear growth in subscriber count each year, while acknowledging that month-to-month gain could accelerate as the product gains traction.
- In terms of conversion funnel, a 20% conversion from trial to paid is assumed, embedded implicitly in the subscriber growth model, which assumes sufficient top-of-funnel lead generation to meet necessary sign up targets.
- Given Finvise’s focus on freelancers and small firms, referrals and positive word of mouth may also boost organic growth over time, however for the next 5 years, subscriber growth is assumed to rely heavily on paid acquisition through marketing infrastructure buildout.

Appendix: SME Intermediary Research: UK Findings

How well-informed are SMEs about finance options?



SME Intermediary Research: UK Findings

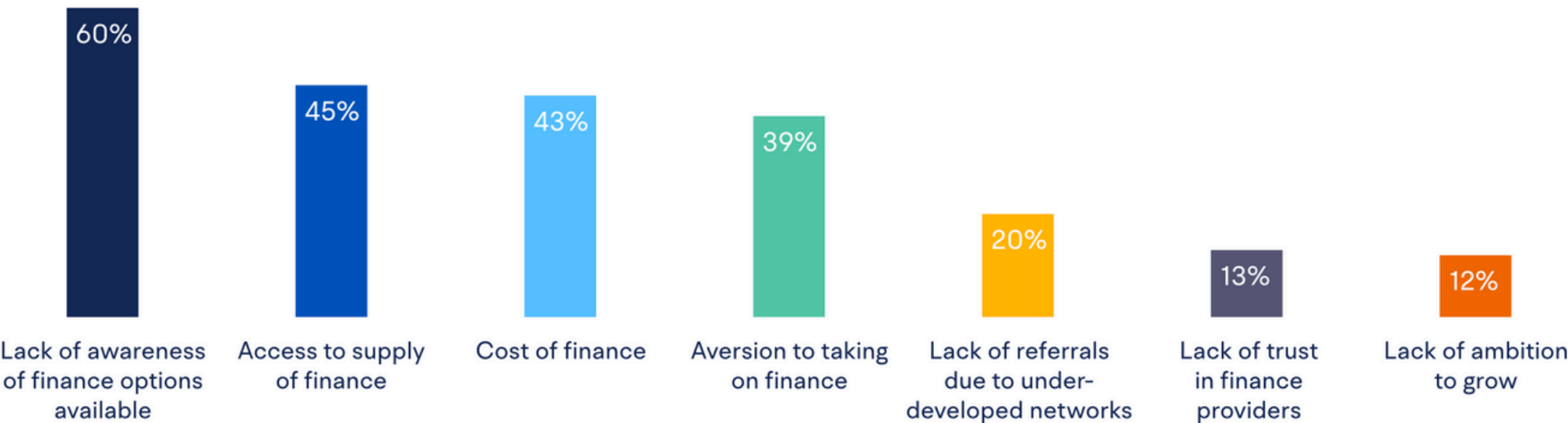
Findings presented are based on an Intermediary Survey conducted by the UK Network Team Oct-Dec 2023 with 725 responses from intermediaries who engage with SMEs

 British Business Bank

Appendix: SME Intermediary Research: UK Findings

SME demand for finance

Lack of awareness of finance options remains the biggest barrier for demand for finance

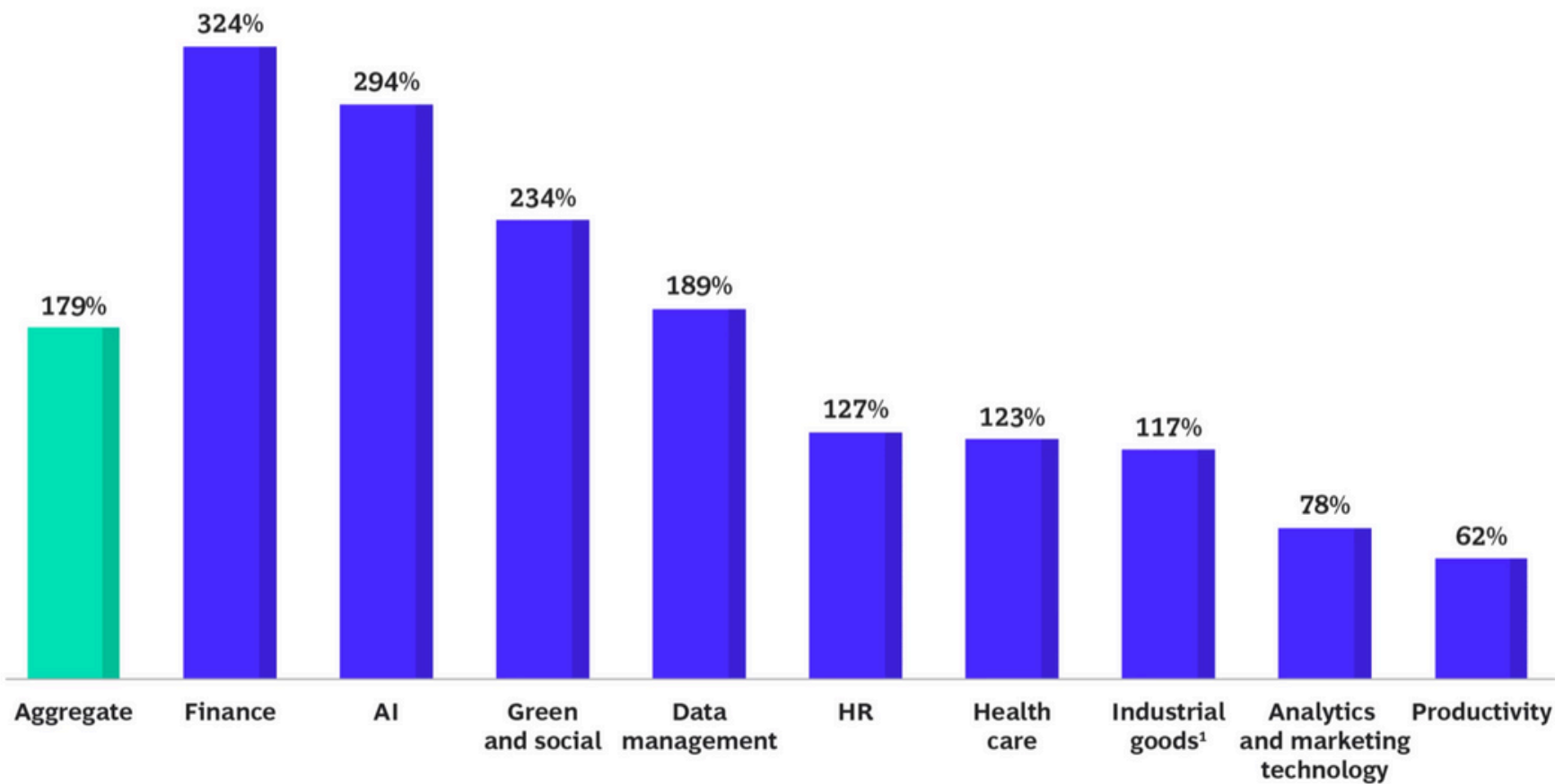


SME Intermediary Research: UK Findings
Findings presented are based on an Intermediary Survey conducted by the UK Network Team Oct-Dec 2023 with 725 responses from intermediaries who engage with SMEs
 British Business Bank

Appendix: Benchmarking the Fastest Growers

Exhibit 1 - Most B2B SaaS Segments Are Growing Rapidly, Particularly Finance and AI

2022 SaaS annual growth rate by segment (%)



Sources: BCG X 2022 B2B SaaS survey; BCG X analysis.

¹“Industrial goods” includes companies across the mobility, logistics, and construction segments.